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| <b>Subject Code</b>                            | AF5322                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Subject Title</b>                           | Corporate Risk Management                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Credit Value</b>                            | 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Level</b>                                   | 5                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Normal Duration</b>                         | One Semester                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| <b>Pre-requisite / Co-requisite/ Exclusion</b> | Pre-requisite: Investments (AF5344)<br>Exclusion: Risk Management for Corporations (AF5333)<br>Business Risk Management (AF5336)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Objectives</b>                              | This course is to prepare students to establish the body of knowledge necessary for independent risk management analysis and decision-making. It builds on basic finance concepts and gives the students an understanding on how a business can identify, measure and control its risks. It contributes to the achievement of the MoF programme outcomes by enabling students to identify, explain and solve real-life risk management problems of non-financial and financial institutions (Outcome 2).                                                                                                                                                                                                                                                   |
| <b>Intended Learning Outcomes</b>              | Upon completion of the subject, students will be able to: <ul style="list-style-type: none"> <li>a. Understand the basic principles of risk management and the role of risk management in business firms</li> <li>b. Identify and analyze underlying factors that lead to good/poor risk management of a business</li> <li>c. Use relevant tools to identify, measure and control risk exposure related to operation, financing and investment in a global market</li> <li>d. Apply Value-at-Risk (VAR) methodology to assess various types of risk for a business</li> <li>e. Understand the development of FinTech and evaluate the implications of such technologies as AI and machine learning, blockchain and big data for risk management</li> </ul> |
| <b>Subject Synopsis/ Indicative Syllabus</b>   | <p><b>Basic Concepts of Risk and Risk Management</b><br/>Definitions of risk and risk management. Risk concepts and processes.</p> <p><b>Risk Identification, Measurement and Control</b><br/>Classification of risk. Basic tools. Value-at-Risk (VAR). Stress testing.</p> <p><b>Liquidity Risk</b><br/>Asset liquidity risk. Funding liquidity risk. Liquidity-adjusted VAR.</p> <p><b>Credit Risk</b><br/>Credit exposure. Default risk. Pricing credit risk.</p> <p><b>Market Risk</b><br/>Interest rate risk, foreign exchange risk, equity price risk and commodity price risk.</p> <p><b>Operational Risk</b><br/>Identification, assessment and loss distributions. Data challenge.</p>                                                            |

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|                                                                                        | <b>Integrated/Enterprise Risk Management</b><br>Enterprise-wide risk management, its importance and principles.<br><br><b>FinTech</b><br>Development of FinTech. Use of FinTech for Managing Risk. Issues with FinTech.                                                                                                                                                                                                                                                                                                                             |             |                                                                                |   |   |   |          |  |
| <b>Teaching/<br/>Learning<br/>Methodology</b>                                          | Lectures and seminars will be conducted on the topics of the syllabus. Lecture time will be used flexibly for discussing key concepts and their applications with students and carrying out other learning activities with them. Such activities include group discussions and student presentations of their work (to develop students' critical thinking, analytical skills, teamwork, and communication skills). To maximize benefits, students are encouraged to share their views and experiences actively with their lecturer and classmates. |             |                                                                                |   |   |   |          |  |
| <b>Assessment<br/>Methods in<br/>Alignment with<br/>Intended Learning<br/>Outcomes</b> | Specific assessment methods/tasks                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | % weighting | Intended subject learning outcomes to be assessed (Please tick as appropriate) |   |   |   |          |  |
|                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |             | a                                                                              | b | c | d | e        |  |
|                                                                                        | 1. Individual Essay                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 20%         | ✓                                                                              | ✓ | ✓ | ✓ | ✓        |  |
|                                                                                        | 2. Project Presentation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 20%         | ✓                                                                              | ✓ | ✓ | ✓ |          |  |
|                                                                                        | 3. Participation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 10%         | ✓                                                                              | ✓ | ✓ | ✓ | ✓        |  |
|                                                                                        | 4. Final Examination                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 50%         | ✓                                                                              | ✓ | ✓ | ✓ | ✓        |  |
|                                                                                        | Total                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 100 %       |                                                                                |   |   |   |          |  |
|                                                                                        | <b><i>Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i></b><br><b><i>To reflect the significant technology content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.</i></b>                                                                                                                                                                    |             |                                                                                |   |   |   |          |  |
| <b>Student Study<br/>Effort Expected</b>                                               | Class contact:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |             |                                                                                |   |   |   |          |  |
|                                                                                        | ▪ Lectures / Seminars                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |             |                                                                                |   |   |   | 39 Hrs.  |  |
|                                                                                        | Other student study effort:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |             |                                                                                |   |   |   |          |  |
|                                                                                        | ▪ Preparing for classes and reviewing course materials.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |             |                                                                                |   |   |   | 38 Hrs.  |  |
|                                                                                        | ▪ Writing individual essay                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |             |                                                                                |   |   |   | 10 Hrs.  |  |
|                                                                                        | ▪ Preparing for group presentation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |             |                                                                                |   |   |   | 10 Hrs.  |  |
|                                                                                        | ▪ Preparing for final exam                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |             |                                                                                |   |   |   | 20 Hrs.  |  |
|                                                                                        | Total student study effort                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |             |                                                                                |   |   |   | 117 Hrs. |  |

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| <b>Reading List and References</b> | <p><b><u>Required Text</u></b></p> <p>Crouhy, M, D. Galai and R. Mark, <i>The Essentials of Risk Management</i>, 3rd edition, McGraw Hill, 2023.</p> <p><b><u>Other References</u></b></p> <p>Hull, John, <i>Risk Management and Financial Institutions</i>, 5<sup>th</sup> edition, Wiley, 2018.</p> <p>Chance &amp; Brooks, <i>An Introduction to Derivatives &amp; Risk Management</i>, 10<sup>th</sup> edition, Cengage Learning, 2016.</p> <p>Lam, James, <i>Enterprise Risk Management: From Incentives to Controls</i>, 2<sup>nd</sup> edition, Wiley, 2014.</p> <p>Marthinsen, John, <i>Risk Takers: Uses and Abuses of Financial Derivatives</i>, 3<sup>rd</sup> edition, Pearson, 2018.</p> <p>Jorion, Philippe, <i>Value At Risk: The New Benchmark for Managing Financial Risk</i>, 3<sup>rd</sup> edition, McGraw Hill, 2007.</p> <p>Lynn, T., J.G. Mooney, P. Rosati, and M. Cummins, <i>Disrupting Finance: FinTech and Strategy in the 21<sup>st</sup> Century</i>, Palgrave Macmillan, 2019.</p> <p>Additional readings will be distributed in class or put into Blackboard.</p> |
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